

EMA 9/21 Cross · Trend Continuation

Concept

Classic trend-follow momentum. The 50-EMA defines the bias (price above -> long-only; below -> short-only). The 9/21 EMA cross gates the entry inside that trend so we only take momentum kicks aligned with the higher-timeframe direction.

Rules

- Bias — H1 close > 50-EMA -> LONG bias only. < 50-EMA -> SHORT bias only.
- Trigger — On 15m close, the 9-EMA crosses the 21-EMA in the direction of the bias AND the closing bar's body is in the same direction.
- Confirmation filter — $ATR(14)$ on 15m > $0.5 \times ATR(14)$ on H1 (avoid dead-tape entries).

Entry

- Limit order at the 9-EMA value of the trigger bar (small pullback fill).

Stop loss

- $1.0 \times ATR(14)$ on 15m below entry (long) / above entry (short).

Take profit

- TP1: $1.1 \times \text{risk}$ · TP2: $1.5 \times \text{risk}$ · SL: $1.0 \times \text{risk}$

Best timeframe

15m execution with H1 trend filter. The 9/21/50 EMA stack is the only thing on the chart.

When to skip

- News blackout $\pm 30m$ (handled globally).
- Outside US session if the instrument is futures-thin.

Backtest Results (45-day walk-forward)

Trades: 50 · 1.11 per day

Win rate: 64% · Avg winner: 1.26 RR

Expectancy: 0.44 R per trade · Profit factor: 2.23

Result vs target (60% win, 1.2 RR): PASS